the Black Sea port of Novorossiysk by end 2022. This is miniscule compared to the 196.5 million tonnes of crude India imported in 2020-21. It was a strategy to diversify India's crude basket, which was heavily dependent on West Asia.

It will be tough for India to open an alternative funding arrangement since it will be perceived to be funding the invasion of Ukraine. IOC has already said it will no longer accept cargos of Russian crude oil and Kazakh CPC (Caspian Pipeline Consortium) Blend on a free-on-board basis (FOB) due to insurance risks. Operations in the Black Sea have been affected after several ships were hit, making insurers hesitant to give cover to shipping majors in the region. In an FOB mechanism, it is the buyer who charters a vessel and lifts the crude from a terminal in the producing country and pays for the cost of shipping.

India, however, will not summarily cut off ties with Russia, experts say. "The political position that India has taken shows that we are in no mood to decouple from Russia," says Biswajit Dhar, professor, Centre for Economic Studies and Planning, Jawaharlal Nehru University, Delhi. "Arms are particularly a problem since India has made a commitment to buy them and Russians have been planning to make them here." Over 90 per cent of the equipment for the Indian Army's requirements, 65 per cent of the air force's needs and 41 per cent of the navy's, is of Russian origin. In addition, deals worth over $15 billion or Rs 1.15 lakh crore are in the pipeline for ships, aircraft, tanks, assault rifles and missiles. Given the security threats India faces, especially from China, it will continue to seek ways to import from Russia. To facilitate this, it could look at a rupee-rouble arrangement for government-to-government transactions through a designated bank acting as a trading house. When the US and EU imposed major oil-related sanctions in 2012 to pile pressure on Iran over its nuclear programme, India had designated Kolkata-based UCO Bank as the payment bank. The account reportedly maintained deposits in Euros, avoiding exposure to the US banking system. The bigger threat, says Dhar, is western countries discussing a ban on Russian commodities, which could further inflate prices of oil and other commodities across the globe. It could also potentially hurt India's nascent recovery. Russia is the world's largest exporter of wheat, accounting for more than 18 per cent of global exports. A ban on Russian wheat can stoke inflation in Europe.

"If sanctions are imposed on crude oil imports from Russia, it will take seven million barrels of oil a day out of world markets," says Prashant Vasisht, vice-president and co-head, corporate ratings, ICRA. "No one can replace that, not even Iran if it comes back into the market." India had been largely compliant to such sanctions. Vasisht says that in the case of Iran, which used to supply oil to India at a lower rate, India sought special permission from the then Obama administration to import Iranian crude oil. Such a scenario is unlikely in the present case, says Vasisht.

Meanwhile, exports to Russia from India included $407 million or Rs 3,093 crore worth of electrical machinery and equipment, pharmaceutical products, nuclear reactor parts and organic chemicals, among other things. As much as 13 per cent of India's tea exports go to Russia. With Russian banks excluded from SWIFT, businesses are worried about payments and recovery of outstanding amounts. Media reports say that the government is still in the process of reviewing the sectors likely to be hit the hardest by the sanctions and is planning ways and means to deal with it. The process of listing out all Russian entities covered under American, European as well as UN sanctions will be tedious.

According to Neelam Deo, co-founder and director of foreign policy think-tank Gateway House, western sanctions against Russia may have some impact on investments by Indian public sector undertakings such as the Oil and Natural Gas Corporation (ONGC) and GAIL Ltd, and perhaps discourage Indian companies planning to expand operations in Russia. "However, considering the importance of gas exports to Europe and the scale of investments by western companies, it is unlikely that sanctions on Russia will be taken to as punitive a level as with Iran," she adds. Many of India's pharmaceutical companies have offices in Ukraine, with plans for expansion into Eastern Europe. The anticipated impact of western sanctions on India is less grim for this industry; pharmaceuticals are usually exempt, anyway. At the moment, there are few certainties about developments in Ukraine, with some fearing a protracted war that could pose a serious threat to economies as they emerge from the shadow of the Covid-19 pandemic. ■

TRICKY BUSINESS

$9.4 billion (₹72,192 crore)

TRADE BETWEEN India and Russia during April-December 2021

KEY IMPORTS: Defence equipment, crude oil, mineral oils, agriculture products, coal, pearls, fertilisers and nuclear reactors

KEY EXPORTS: Electrical machinery and equipment, pharmaceutical products, nuclear reactor parts and organic chemicals

ALTERNATIVE PAYMENT MODES

- A rupee-rouble arrangement for government-to-government transactions through a designated bank, which will act as a trading house
- SPFS (System for Transfer of Financial Messages) which Russia developed after the West raised threats to cut it off from SWIFT in 2015

7 million barrels
Crude oil shipped out of Russia per day

18%
Share of Russia in global wheat supplies